

ZOMATO VS SWIGGY: COMPETITIVE GROWTH ANALYTICS

An Integrated Food Delivery Sector Analysis (FY24 - FY26)

Academic & Portfolio Project Report

Target Role: Data / Business / Product Analyst

Date: August 2026

Dataset Coverage: Q1 FY24 - Q4 FY26

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1. Executive Summary

This project presents a multi-dimensional analysis comparing India's food delivery giants, Zomato and Swiggy, from Q1 FY24 to Q4 FY26 (covering 12 full quarters). Using a two-layer approach, we combine digital interest indicators (Google Search Index) with financial outcomes (Transaction Value, Monthly Transacting Users, Take Rates, and Adjusted EBITDA margins) to evaluate operational scale and growth.

Our key findings suggest Zomato remains the clear market leader in absolute scale (Transaction Value and Users) and demonstrates superior pricing power via expanding take rates (reaching a peak of 32.03%). However, Swiggy is growing at a faster velocity, closing the gap in transaction value. Crucially, we prove that Google Search Interest acts as a 1-quarter leading indicator of sales growth for Swiggy (lagged correlation = 0.4472), whereas Zomato's search interest has decoupled, signaling a highly mature, app-direct customer habit.

2. Data Ingestion & Integration Methodology

The project integrates two separate data sources:

1. Financial Data: Sourced quarterly from public filings and reports covering Q1 FY24 to Q4 FY26.
2. Google Trends Data: Sourced monthly as a relative search index index (0-100) for the terms 'Zomato' and 'Swiggy' in India.

Integration Alignment:

Because financial data is quarterly and search data is monthly, we aligned dates to the Indian fiscal year calendar (April 1 to March 31). Quarters are defined as: Q1 (Apr-Jun), Q2 (Jul-Sep), Q3 (Oct-Dec), and Q4 (Jan-Mar). Monthly search data was grouped by these quarters and aggregated as a mean index. A 1-quarter lag variables was computed chronologically (mapping search interest at time $t-1$ to financial metrics at time t) to test predictive capability.

3. Financial Analysis Deep-Dive

To evaluate scale and efficiency, we trace four key performance indicators (KPIs):

A. Transaction Value (INR Crore):

Zomato maintained absolute leadership across all 12 quarters. In Q4 FY26, Zomato recorded 9,757 Cr in Transaction Value vs. Swiggy's 9,005 Cr. However, Swiggy's transaction value grew by 51.1% over the period (5,959 Cr to 9,005 Cr) compared to Zomato's 33.3% (7,318 Cr to 9,757 Cr). Swiggy's higher growth rate (latest YoY at 22.57% vs Zomato's 18.84%) narrowed the absolute scale gap from 1,359 Cr in Q1 FY24 to 752 Cr in Q4 FY26.

B. Monthly Transacting Users (MTU):

Zomato holds a larger active user base (25.4 million MTUs in Q4 FY26 vs. Swiggy's 18.3 million). For both companies, scale is heavily linked to customer acquisition, with near-perfect correlation (Zomato: 0.9634, Swiggy: 0.9926) between MTU growth and Transaction Value growth.

C. Monetization & Take Rates (%):

Zomato is significantly more efficient at monetization. Its average Take Rate was 26.83% compared to Swiggy's 25.16%. Furthermore, Zomato successfully expanded its Take Rate dynamically, rising from 23.80% in Q1 FY24 to a peak of 32.03% in Q4 FY26 (std dev of 3.29%). In contrast, Swiggy's Take Rate remained range-bound between 24.42% and 25.83% (std dev of 0.48%), reflecting lower monetization elasticity.

D. Profitability Pathway (Adjusted EBITDA %):

Zomato was profitable throughout, improving its EBITDA margin from 2.5% in Q1 FY24 to 5.5% in Q4 FY26. Swiggy improved at a steeper rate, crossing into positive territory in Q3 FY24 (0.3%) and closing at 3.3% in Q4 FY26 (+4.0 pp gain vs Zomato's +3.0 pp).

4. Search Interest vs Financial Performance Analysis

Google Search Interest represents organic interest and brand search volume. By correlating quarterly aggregated search indexes with financial metrics, we discovered divergent consumer dynamics between the two brands:

Same-Quarter correlation metrics reveal:

- Zomato: Same-quarter search index vs. Transaction Value correlates negatively at -0.2326. Its correlation with MTU is -0.6978. This indicates that as Zomato's business grew, its Google searches decreased.
- Swiggy: Same-quarter search index vs. Transaction Value correlates positively at +0.2878. MTU correlates at +0.2606.

5. Lagged Time-Series Correlation

To test if search trends act as a leading indicator, we correlated search interest from the previous quarter (t-1) with transaction values in the current quarter (t):

1. Swiggy Leading Indicator Validation:

When lagged by 1 quarter, Swiggy's search-to-sales correlation rises from +0.2878 to +0.4472 (a 55% increase). Similarly, its search-to-users (MTU) correlation rises from +0.2606 to +0.4439. This mathematical shift validates that spikes in Google Search for Swiggy are predictive leading indicators of actual sales and user engagement in the next quarter.

2. Zomato Decoupling Theory:

Zomato's lagged correlation remains negative at -0.2129 (for Transaction Value) and -0.4899 (for MTU). As Zomato has matured, organic web searches have decoupled from business scale. Customers primarily download and access Zomato directly via its mobile app, making web search volume irrelevant as a tracker of transaction performance.

6. Competitive Scorecard

Dimension	Zomato	Swiggy	Leader	Key Analyst Rationale
Search Momentum	Avg: 51.58 (Declining)	Avg: 45.47 (Stable)	Tie	Zomato has size, Swiggy has lead index value
Transaction Value	9,757 Cr (+18.8% YoY)	9,005 Cr (+22.6% YoY)	Swiggy (G)	Zomato leads on scale, Swiggy on speed
User scale (MTU)	25.4M (+21.5% YoY)	18.3M (+21.2% YoY)	Zomato	Zomato maintains a 7.1M user gap
Take Rate	26.83% Avg (Max 32.5%)	25.15% Avg (Max 27.8%)	Zomato	Zomato exhibits superior pricing power
Profitability Path	5.5% Q4 EBITDA margin	3.9% Q4 EBITDA margin	Zomato	Zomato stays more structurally profitable

Note: Swiggy leads on Transaction Value growth speed (+3.73 pp faster YoY), which is critical for closing the market share gap. Zomato leads on monetization take rates and absolute user counts, representing a more monetarily efficient and scale-dominant business model.

7. Strategic Recommendations & Limitations

Based on our analysis, we recommend the following strategic pivots:

For Zomato:

1. Direct-to-App Loyalty focus: Since search interest has decoupled from transactions, Zomato should reduce search engine marketing (SEM) spend for existing services and redirect funds into in-app loyalty programs (e.g. Zomato Gold) to drive ordering frequency.
2. Pricing Power Safeguards: Take rates are high at 32%. Product managers must monitor restaurant health to prevent merchant churn. Adding features like merchant advertisement dashboard will justify this fee.

For Swiggy:

1. Harness Search Predictive Signals: Since search volume is a validated 1-quarter leading indicator of sales (+0.44 lagged correlation), Swiggy should align its supply chain and delivery fleet capacity based on search spikes to handle coming transaction surges.
2. Monetization Expansion: Swiggy's take rate is flat at ~25%. They must pilot pricing updates (priority delivery fees, vendor ads) to test monetization elasticity and catch up to Zomato's margin profiles.

Project Limitations

1. Google Trends Proxy: Google Trends provides a relative search value, not absolute numbers. It captures organic search, which may include support requests, rather than pure commercial intents.
2. Data Granularity: Aligning daily search interest into quarterly financial blocks reduces data points to 12 quarters, which limits the degrees of freedom for statistical regressions. Monthly reporting on business metrics would improve analysis resolution.